

Investment Fundamentals Guide

1. What is Investing?

Investing means putting money into assets with the expectation that they will grow in value or generate income over time.

2. Why Invest?

- Beat inflation
- Build wealth
- Achieve financial goals
- Generate passive income

3. Common Investment Options

Stocks: Ownership in companies with high growth potential.

Mutual Funds: Professionally managed pooled investments.

ETFs: Exchange-traded diversified funds.

Bonds: Fixed-income securities with relatively lower risk.

Gold: Hedge against inflation.

Real Estate: Property investments for appreciation and rental income.

4. Risk vs Return

Higher expected returns usually come with higher risk. Diversification helps reduce risk.

5. Diversification

Spread investments across asset classes, sectors, and geographies instead of investing everything in one place.

6. SIP vs Lump Sum

SIP: Regular investing with rupee-cost averaging.

Lump Sum: One-time investment, suitable when markets are attractive.

7. Asset Allocation

Example: 60% Equity, 30% Debt, 10% Gold (depends on age, goals, and risk tolerance).

8. Emergency Fund

Maintain 3–6 months of expenses before making long-term investments.

9. Key Financial Ratios

P/E Ratio, EPS, ROE, Debt-to-Equity, CAGR, and Expense Ratio are commonly used while evaluating investments.

10. Investment Mistakes to Avoid

- Chasing quick profits
- Investing without research
- Ignoring diversification
- Emotional buying/selling

- Timing the market

11. Long-Term Principles

Invest consistently, review your portfolio periodically, stay disciplined, and focus on long-term goals.

Disclaimer

This document is for educational purposes only and should not be considered financial advice.